# The Great
# **Due Diligence Checklist**
# for more
# **Security** and **Cost Efficiency**
# in Business Transactions

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## About the Author of „Due Diligence Checklist“

The sales team of docurex ® and the Managing Director Matthias Böhmichen have enjoyed an impressive number of great data room projects in since 2005.

Included among the more than 1000 docurex ® customers are many industry leaders such as Allianz Real Estate Germany, Generali Insurance, Hypo Tirol Bank AG in Austria and other leading European Insurance companies.

„The Great Due Diligence checklist“ is the result of more than 1000 data room projects, led by the docurex team. During these projects arose again and again, the question concerning a detailed Due Diligence checklist from buyers, sellers and even agents.

## Do you have Questions?

Do you have any questions about the topic of due diligence and the use of virtual data rooms for safe and expedited processing?

Get in touch with the docurex sales team:

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# What is a „Due Diligence“?

## Definition of Terms

„Due Diligence“ describes the testing and evaluation of a company in a business transaction by a potential investor.

A potential buyer for a house would visit, for example, the respective homes, evaluate the state (this process would be described as „technical due diligence“) then check the land registry entry (analogous to the „Legal Due Diligence“) to gather information on running costs (that would be the „financial due diligence”) and so on.

Potential investors examine, just like the buyer in the previous example, before the acquisition of a company any legal, financial, fiscal, organizational and technological conditions of the target company.

*The direct translation of the term "due diligence" is: "With all due diligence." The translation implies, however, only the evaluation of the quality control of, but not the fact of the test in and of itself*

Especially with the sale of large parts of companies or entire companies due diligence has played a very large role for years. The use of the right advisors and the right tools, optimize such processes with regard to the safety, duration and cost efficiency significantly.

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## Phases of a Due Diligence

Every business, every sale, and any interested group behaves differently. The phase model of a due diligence on the other hand represents a focused framework for the possibility of an effective negotiation.

It concerns itself with that during the sale of a so-called auction procedure in which several potential investors bid simultaneously on a target object, it is in practice usual, that the target enterprise, compiles the necessary documents together with an investment bank and M & A advisor.

However if there is only one prospective customer, it is then customary to send through a due diligence checklist of the requirements for the target company and to ask for the provision of the relevant documents.

In both cases, the process can be described as follows:

1. The target company is in a virtual or physical data room together with the relevant due diligence document materials.
2. At a defined time, the target company permits access of this data to the potential investors.
3. At a further defined time, the data room is closed and the negotiation phase begins.

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## Components of the Due Diligence Reports

As part of the inspection into the supplied documents, the advisors to the potential investors create a "Due Diligence report". Depending on the volume of the transaction this report can be quite different, however it is generally always the same structural composition. These include in particular the following points:

1. Description of the audit mandate
2. Description of the audit scope
3. Basic information about the proposed transaction
4. Detailed description of the goal and purpose of the transaction
5. Interim reports of the analyses
    a. The Legal Situation („Legal Due Diligence“)
    b. The Tax Situation („Tax Due Diligence“) The Financial and Economical Situation („Financial Due Diligence“)
    c. Of Market, industry and Strategy („Market / Commercial Due Diligence“)
    d. The Enviornmental („Environmental Due Diligence“)
    e. The Insurance Coverage („Insurance Due Diligence“)
    f. The Technology („Technical Due Diligence“)
    g. The Employee Situation („Human Resources Due Diligence“)
6. Preparation of a Summary Outcome
7. Conclusion
8. Addendum

The Due Diligence report can be only as good as the document material, on which it's been structured. In the context of the Due Diligence, the target company usually puts forward the requested documents required by the potential investors. It can and should never be excluded that the target company, intentionally or unintentionally, omits individual documents. Against such manipulations the subsequent purchaser can protect them self by a combination of two effective methods:

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1. Formulation of appropriate exclusion clauses in the contracts, in particular by highlighting the consequences of "culpable violation of duties from a pre-contractual obligation".

2. Use of a virtual, revision-safe data room, wherein all document operations are recorded.

**Practice tip**

docurex ® is a highly secure, virtual data room to speed up business transactions.

More information is available at http://www.docurex.com

# Legal Due Diligence

As part of the legal due diligence a comprehensive inventory is created for both the external and internal legal relations of the company.

The legal Due Diligence represents a type of “foundation” of the entire Due Diligence of process, in order to legally secure other section analyses like the Financial Due Diligence or the Tax Due Diligence.

The primary task of the legal due diligence is risk identification in the presence of company results and the viability of the company.

The Due Diligence Report will show, for the legal due diligence, the corresponding action for the proposed transaction.

For your legal due diligence, check the following questions:

## Corporate Documents

- Is there a current, notarized certificate of registration available?
- At present are further entries still pending in the Register of Companies? If so which ones?
- Is the notarized Certificate of Incorporation available?
- Are the Articles available?
- Is the current social contract available?
- Are the rules of procedure for the CEO available?
- Are, in the case of incorporation in kind, both a copy of the transfer agreement and the acquisition of understanding by the respective shareholders available?
- Are the deeds and contracts in full (especially for the transfer of shares, capital increases and reductions, transformations, etc.) at hand?

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- Are in the case of divestment of a business segment of the association, a corresponding equipment purchase agreement and the relevant commercial registers available?

- Is an updated list of shareholders or associates giving the shares in existence?

- Is there a list of shareholder loans granted?

- Is there any statement on the granting of loans by the Company to the shareholders?

- Are the minutes of the meetings of shareholders of the last three years complete?

- Is a list of the general/proxies as well as the attorneys present?

- Is there a list of related companies and other investments (with designation of the Supervisory Board, Advisory Board, Board and CEO) as well as the relevant economic contracts present?

- Are there result removal contracts or control contracts?

- Are the respective transformation resolution of the association, the transformation report as well as the appropriate Register of Companies agreement available in the case one or more of the legal form changes?

- Are there agreements on rights of first refusal on shares? Do there exist shareholder selling bans or restrictions on disposal?

- What other relevant corporate law contracts are there?

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## Contracts and Agreements

- What other contracts for joint ventures and cooperation agreements exist?
- Is there a list of key contracts with major business partners, which go well beyond the normal scope of business operations?
- What contracts for the purchase or sale of associated companies, whole businesses or an individual business exist?
- Is there a list of economically and legally relevant contracts with distributors, agents or dealers available?
- Are there any restrictive agreements? If so, by whom and to what extent?
- Are there social obligations, to ensure deposit of capital or to enter into equity investments?
- Is there a list of rental and lease agreements over other technical resources that go beyond the normal scope of activity?
- Are there other contracts that go well beyond the normal scope of business operations?

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## Liabilities

- Is there a list of all short-, medium-and long-term debt at hand?
- Does there exist a detailed classification of the information of the above named establishment, a detailed breakdown of information on each debtor, the amount owed, due date and interest rate?
- Are the above-designated list itemized in full leasing, factoring and credit agreements?
- Are the appropriate safeguard agreements referred to in the inventory?
- Is there a list of all bank accounts of the company including the respective balances available?
- Is there a description of off-balance sheet liabilities that could have, or may require, a considerable impact on the company?

## Labor and Employment Law Issues

- Which employers' associations belong to the company?
- Are all applicable collective bargaining agreements at hand?
- Are the current company agreements available?
- Is there a list of current employment contracts for executives and managers and the employment contracts of employees and workers available?
- Is there a sample copy of each class of employment and work contracts available?
- Is there a directory of the existing social security benefits and pension plans?
- Which agreements were made to gain or turnover-dependent remuneration, percentages of profits and bonus payments (existing or planned holding of shares by employees models)?

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- Is there a list of retired or soon to be retiring workers, and the claims against the company they have available?
- Are there any documents on any planned staff reduction measures?
- Is there a list of the labor conflicts of the last three years?
- Is there a list of all consultancy contracts, (pseudo) contractors and temporary employment relationships to meet any tax obligations at hand?

## Litigation and Procedure

- Is there a list of current, and possibly threatening, active and passive processes or procedures, which could have fundamental impact on the business (either the amount involved or the content to) available?
- Is there a list of pending or threatening proceedings with authorities?
- Is a statement of relevant criminal offenses or proceedings against the company or its employees at hand?
- What risks are attached to the threat of restrictions on business operations because of a legal or requirement violation?

## Intellectual and industrial property rights

- Is there an overview of the economically relevant research and development programs, including an assessment of the prospects of success and project costs?
- Is there a list of the valuable Internet domains registered to the association?
- Which knowledge agreements exist with third parties?
- Is there a list of all registrations (patents, trademarks, licenses, etc.) as well as the respective scope and duration of protection available?

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- Are there current or impending proceedings for infringement

## Public-Law Relations

- Is there a list of received, or applied for, public funding or subsidies of the last five years?
- Are the respective contracts at hand?
- Does there exist a list of the above promotions repayment obligations? If so, how much?

## Property

- Does a full statement of all property listings of the association exist?
- Are accompanied by the above-named list, the corresponding cadastral plans in the current version?
- Is there a list of establishments of that company?
- Is there a statement of the proper context to the rental and leases that are relevant for the continuation of business operations?
- Is there a budget for the maintenance costs of the respective land?
- Are the relevant lease or leases available?
- Is there an inventory of assets owned by the company to which assets are on order for third parties?

## Environmental loads

- Is there a list of known or foreseeable environmental impacts (e.g. contaminated sites such as accidents, spills or contamination) present?
- 'Does there exist or is there the threat, currently of environmental legal proceedings against the association?

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## Other

- What additional, relevant to business operations, licenses or permits exist?
- Does the association have ISO certifications? If so, are these present?
- Do any trade legal dispositions exist or present a threat?
- Where special software usage contracts exist, which have a significant impact on current business activity?
- Do there exist any rescheduling agreements with creditors? If so, what ones and how much?
-

**Question from practice:**

*„Can I protect documents on the Internet before printing, copying or downloading?"*

Modern virtual data rooms should offer this option by default. The developers of the highly secure data room docurex ® system, even went a significant step further:

# docurex ® protects your documents before printing or downloading, and even before the use of screen capture tools, scans them to the screen!

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# Insurance

- Is there a list of all current insurance, insofar as these are relevant to the continuation of business operations?
- Is there a list of any risks not covered by any insurance for the estimate of the general insurance risk?
- Is there a list of claims from the last three years, which go well beyond the scope of incidents in the ordinary course of business?
- Does there exist an advisor of insurance on the individual claims experienced since the beginning of the insurance contract?
- Were there rejections of applications for insurance or termination of existing insurance policies in the last five years? If so, which ones and for what reason?

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# Financial Due Diligence

The financial due diligence is a detailed analysis of the past three to five fiscal years of operations, of the assets, income and financial position of the target company. The financial due diligence is based upon the current business planning to carry out an assessment of what expected future income may be.

This view has a very large influence on the calculation of the purchase price for potential investors.

The financial due diligence goes into a due diligence report with a plausibility of the analysis results and an assessment recommendation.

For the preparation of the financial due diligence answer the following questions:

## Reports from the Auditor, interim

- Are the financial statements, audit reports and management reports for the last three financial years available?
- Are the current profit and loss statements available?

## Finance and Accounting

- Are all loan agreements of the company at hand?
- Is there a statement of contingent liabilities?
- Do factoring agreements exist?
- Is there a current investment plan?
- Is the calculation scheme for pricing documented?
- Is an inventory list of assessed property, equipment available?
- Is there a list of existing credit lines and their use?
- Is the structure of the prevention of risk evident in the balance sheet?

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- Are the methods documented for rating creditworthiness of customers?

## Planning

- Is there is a current budget for the next 12 months?
- Which order is up to date and in what time frame is this retrieved?
- Are there relevant sub-plans in the areas of liquidity, investment, production, personnel and marketing costs, respectively as balance sheet planning, profit planning, as well as cash flow planning?
- Should there be a regular planning period for revenue and earnings for a future and a past period available? / Is planning for revenue and earnings for a future and a past period available??
- Is there a list of appropriate controlling tools and management systems for internal reporting?

## Assets of the Company

- Are the current investment levels at hand?
- Is there a list of assets that are not usable?

## Fiscal Conditions

- What are the tax returns of the last five years?
- What are the tax assessments of the last five years?
- Is the last accountant's report of the tax audit at hand??
- Do there exist current tax offenses?
- Is the sales tax report for the last special audit at hand?
- Were covered distributions of profits made?
- Was there a representation of the corporate tax equity structure made?
- Is there an overview of the charges for any public benefits such as special depreciation allowances or certain extra pay?

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## Employees

- Is there a directory of all coworkers of the association present, in which the entrance date, the function, the age as well as the remuneration at least are entered?
- Is there a list of pension plans at hand?
- Is there a current collective agreement?
- Is the final audit report of the German pension scheme available?
- Is there a list of any arrears of social security contributions, which are either currently in the enforcement or due to accrue?
- Is the report of the latest tax-audit at hand?
- Is the payroll run internally or by an external service provider?
- Is there a list of freelancers available?
-

## Analysis of Net Assets, Financial Position and Earnings Position

- Is there an analysis of the asset structure at hand?
- Is there a structural analysis of the P&L results?
- Is there an analysis of capital structure available?
- Are all of the latest economic evaluations available?

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**Question from practice:**

*„How do I get over 12,000 paper folders within three weeks into the data room system?"*

The digitization of sensitive data requires two basic conditions: confidence and confidence again. Only then will the technical and logistical details come.

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**Convince yourselves, how more than 1,000 documents are digitized within 4 hours and supplied in a data room:**

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# Business Due Diligence

The Business Due Diligence provides the necessary information base to support winners from both the financial due diligence enterprise and contract negotiations.

## Business Operations and Organization

- Is there a description of the company and the company's history and the divisions shown?
- Is a current organizational chart of the organizational structure at divisional level and at staff level at hand?
- Is there an organizational handbook?
- Is there a clear description of the corporate culture?

## Economic Fundamentals

- Is there an explanation of the product range and portfolio?
- Is there a list of suppliers with whom there is already a contract?
- Is the business model transferable to other countries?

## Market and Competitors

- Who are the Company's most relevant competitors?
- What specific product or service benefits (USP) can denote the company from competitors? What is the unique selling proposition?
- What is the market volume in the target area of the company?

## Distribution

- Which marketing strategy, even with regard to strategy of competitors, is followed?
- Is there an objective definition for the sales target present?
- Is there an assessment on the likelihood of successful customer acquisitions on the basis of the existing customer-data file?
- Is the distribution structure documented?
- What contracts are there with existing customers?
- Are there partnerships with other companies?

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## Marketing

- Are there guidelines for public relations?
- Is there a detailed elaboration of the products and services compared to relevant competitors?
- Is a competitor analysis for the company at hand?
- Is an assessment of the locational advantages and disadvantages available?
- Are there specific marketing plans, including environmental factors?

## Human Resources

- Is there a current organizational plan?
- Is there an overview of the responsibilities and qualifications of staff?
- Is there a description of the recruitment policy?
- Does the company have its own training facility?
- Is the strategy for new staff recruited on a plan or demand-directed model?
- In the association are disabled or severely disabled persons employed within the meaning of the law?
- Are the working hours documented (especially overtime, holidays, special arrangements, etc.) and agreed upon with the staff?
- Is there an induction program for new employees?
- Is there a list of entries and exits by the staff for the last three years available?
- Is there a list of the absences of employees in the last three years, including sick leave, vacation time and any exemptions?

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## Evaluation by the Management Level

- Is a detailed description of the management level, including demographic and personal factors available?
- Is there knowledge of the management style and communication behavior on the management level, particularly in times of crisis, at hand?

## Evaluation by the Employee Level

- Is a detailed description of the staff level, including demographic and personal factors available?
- Is there knowledge about the behavior of the staff level, particularly in times of crisis, at hand?

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# Question from practice:

*„How can the innumerable questions from seven investors with over 90 attorneys to nearly 500,000 documents be responded to efficiently and with high quality?“*

With so many participants and so many documents gives rise to many questions. How do you deal with tactical or manipulative questions? How do you handle other common questions? And how do you provide a legal answer? Docurex ® delivers you the answers to these questions.

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# Technology and Know How

- Is the architecture of the assigned technologies documented sufficiently?
- Are the (Communication) interfaces of the technologies sufficiently documented?
- Is a security concept present for the protection of the technology (which would include the protection of all transactions that are related to the technologies)?
- Are there appropriate service level agreements and contingency approaches to the assigned technologies?
- Is an assessment of the scalability of the technologies available?

# Research and Development (R&D)

- Is there an evaluation of past and planned R & D expenses at hand?
- Is the conformity kept to industry standards or international standards?
- Is there a method for quality control of documentation? If yes, is this adequately described and established?
- Are there research and development agreements with other companies or organizations (e.g. Fraunhofer Institute)?

**Dear reader,**

Thank you for taking the time to go through this checklist. We hope that it will constitute a useful support!




If you should find that subjects are still missing from this checklist, a brief response would be very appreciated by us. We will review your suggestions and where appropriate add it to the check-lists accordingly.

It is our function, passion and mission to make your projects simpler: Use with the next Due Diligence phase a safe, virtual data room of docurex®, and you can have a good feeling that your project will run smoothly. – By the way, over 170 project leaders can confirm this „good feeling“: Call us and we will call you with your industry corresponding references.

Best regards,

Matthias Böhmichen

PS: If you are interested in a proven, professional process diagram for the optimization of data room projects, please send me an e-mail to info@docurex.com with the subject “process diagram”!

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# A legal Notice in Conclusion

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The provided due diligence checklist should be used only as a model for information and inspiration as a formulation. The checklist makes no claim to completeness, validity or correctness.

This checklist does not absolve the duty of a careful examination of each case. Please consult with contractual and tax issues of trust a lawyer or an accountant.

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